

VCU294631 State Farm Mutual Automobile Insurance Company vs. Alexander, Dominique

County: tulare

Division: Civil Law and Motion

Department: 1

Hearing date: 2026-09-24

Motion: Motion for Entry of Judgment

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Re: State Farm Mutual Automobile Insurance Company vs. Alexander, Dominique

Case No.: VCU294631

Date: September 24, 2026

Time: 8:30 A.M.

Dept. 1-The Honorable David C. Mathias

Motion: Motion for Entry of Judgment

Tentative Ruling: To grant the motion and enter judgment in the amount of \$49,402.07.

Facts

In this insurance subrogation matter, Plaintiff sued Defendant for payments made by Plaintiff under its policy, paid to or on behalf of its insured and the driver and/or passengers in the vehicle the sum of \$53,908.62.

On October 6, 2023, the parties filed a stipulation as to resolution of this matter as follows:

"The parties agree the above captioned matter is settled in the amount of \$7,837.00

A. Insurance carrier of Defendant, Kemper Insurance Company, shall pay the balance of the policy limit available to Defendant under the policy of insurance issued by Kemper Insurance Company in the amount of \$4,837.00.

B. Upon Plaintiff's receipt of the limits funds of \$4,837.00, Kemper Insurance Company or its affiliated insurance companies have no duty to defend or indemnify Dominique Alexander with respect to any proceeding to enforce this Stipulation; for any claims of breached obligation that may exist under this Stipulation; or for any damages arising out of such breach.

C. Defendant shall pay the remaining balance of \$3,000.00 in the following manner: Defendant shall make payments of \$50.00 per month, beginning May 1, 2024 with each payment being due, consecutively, on the fifteenth (15th) day of each month thereafter until the balance of \$3,000.00 is paid in full.

D. If all payments are made as set forth above, then the payments will be interest free..."

The stipulation further states "Should Defendant fail to make the payment, as agreed, on the first (1st) day of each month, he/she will be deemed to be in default of this agreement, and Plaintiff may immediately cause Judgment to be entered pursuant to the terms set forth in this Stipulation for the full amount of \$53,908.62, less any monies paid by Defendant and Kemper Insurance Company to date of the breach..."

Further, the stipulation states "It is further stipulated and agreed that, in the event of an uncured default in payments as provided herein, the judgment shall be entered pursuant to this Stipulation is deemed reasonably related to the breach of this Stipulation and the losses sustained by Plaintiff as plead in the underlying cause(s) of action and therefore does not amount to an unenforceable penalty, and defendant(s) voluntarily disclaim and waive any rights or benefits under the holding in Greentree Financial Group, Inc., v. Execute Sports, Inc. (2008) 163 Cal.App.4th 495, and any other similar law, which states in essence that an acceleration clause seeking a judgment amount that exceeds the damages arising strictly from a breach of the minimum payment stream called for herein may be deemed an unenforceable penalty."

Further, that if the Court dismisses the matter, the Court shall retain jurisdiction pursuant to Code of Civil Procedure section 664.6.

This matter was dismissed pursuant to the stipulation on October 23, 2023.

On August 6, 2026, Plaintiff filed this motion for relief from dismissal and for entry of judgment in the amount of \$60,762.55, comprised of the principal settlement amount, plus interest accrued thereon at 7% per annum, court costs, and attorney's fees, less payments received from Defendant and Defendant's insurance carrier.

Plaintiff seeks costs in the amount of \$580.45, including a \$471.45 filing fee for Plaintiff's initial Complaint, a \$49.00 service of process fee, and a \$60.00 motion fee.

Plaintiff seeks interest pursuant to Civil Code section 3287(a) and the stipulated agreement.

Plaintiff seeks attorneys' fees in the amount of \$5,632.16 based on the Court's "default" schedule for attorneys' fees in Appendix 8 of its Local Rules.

Authority and Analysis

Section 664.6 (a) states:

"If parties to pending litigation stipulate, in a writing signed by the parties outside of the presence of the court or orally before the court, for settlement of the case, or part thereof, the court, upon motion, may enter judgment pursuant to the terms of the settlement. If requested by the parties, the court may retain jurisdiction over the parties to enforce the settlement until performance in full of the terms of the settlement."

"The court's retention of jurisdiction under section 664.6 includes jurisdiction over both the parties and the case itself, that is, both personal and subject matter jurisdiction." (Lofton v. Wells Fargo Home Mortgage (2014) 230 Cal.App.4th 1050, 1061.)

“Section 664.6 permits the trial court judge to enter judgment on a settlement agreement without the need for a new lawsuit.” (Osumi v. Sutton (2007) 151 Cal.App.4th 1355, 1360.)

As indicated above, the Court retains jurisdiction over the parties and this matter and therefore is prepared to “enter judgment pursuant to the terms of the settlement.”

However, the issue for the Court is whether entry of the judgment as requested is proper as to the principal amount or whether it is an unenforceable penalty. The starting point for this issue appears to be Greentree Financial Group, Inc. v. Execute Sports, Inc. (2008) 163 Cal.App.4th 495.

Greentree

In Greentree, the plaintiff sued defendant for breach of contract for failure to pay \$45,000 due under the contract. (Id. at 498.) The parties resolved this dispute via stipulation for entry of judgment providing that defendant would pay \$20,000 in two installments of \$15,000 and \$5,000. (Id.) Further, if the defendant defaulted on either installment, the plaintiff would be entitled to have judgment entered for the amount prayed for in the complaint, plus interest, attorney fees and costs, less any amounts already paid. (Id. at 498.) The defendant defaulted on the first payment, and the plaintiff sought entry of judgment pursuant to the stipulation. (Id.) The trial court entered judgment in the amount of \$61,232.50, consisting of the \$45,000 prayed for in the complaint, plus \$13,912.50 in prejudgment interest, \$2,000 in attorney fees, and \$320 in costs. (Id.) The defendant argued at the appellate level that the judgment of \$61,232.50 for failure to make a \$15,000 payment constitutes enforcement of an illegal penalty. (Id. at 498-499.)

The appellate court, agreeing with the defendant, interpreted the stipulation as an unenforceable liquidated damages clause that effectively imposed \$61,232.50 in liquidated damages for breach of the defendant's obligation to pay \$15,000 as follows:

“Greentree and ESI did not attempt to anticipate the damages that might flow from a breach of the stipulation. Rather, they simply selected the amount Greentree had claimed as damages in the underlying lawsuit, plus prejudgment interest, attorney fees, and costs. But the appellate record contains nothing showing Greentree's chances of complete success on the merits of its case—the record contains only the complaint, the answer, and the stipulation. In the stipulation, ‘[e]ach party disclaims any admission of wrongdoing, fault, liability, or violation of law.’ The lack of a guarantee of success at trial may explain, at least in part, why Greentree was willing to accept in settlement less than half the amount demanded in the complaint.

Also, the \$ 61,232.50 amount in the judgment bears no reasonable relationship to the range of actual damages the parties could have anticipated from a breach of the stipulation to settle the dispute for \$20,000. ‘[D]amages for the withholding of money are easily determinable—i.e., interest at prevailing rates...’ [citation omitted.] The amount of the judgment, however, was more than triple the amount for which the parties agreed to settle the case.” (Id. at 499-500.)

The court in Greentree noted that the validity of a liquidated damages provision is governed by section 1671, subdivision (b) and that “‘A liquidated damages clause will generally be considered unreasonable, and hence unenforceable under section 1671[, subdivision] (b), if it bears no reasonable relationship to the range of actual damages that the parties could have anticipated would flow from a breach.’” (Id. at 499.) Damages for failing to pay money are “‘easily determinable’” and are limited to “‘interest at [the] prevailing rate[]’” and (perhaps) “‘reasonable costs [incurred] in pursuing the payment.’” (Id. at 500.)

Here, however, by contrast, the stipulation states “It is further stipulated and agreed that, in the event of an uncured default in payments as provided herein, the judgment shall be entered pursuant to this Stipulation is deemed reasonably related to the breach of this Stipulation and the losses sustained by Plaintiff as plead in the underlying cause(s) of action...”

Further, the stipulation notes the parties have agreed that “Plaintiff has paid out \$53,908.62 in property damages, and is seeking recovery of the monies paid in the amount of \$53,908.62.” This appears sufficient to distinguish the case before the Court and Greentree.

In Creditors Adjustment Bureau, the plaintiff sued the defendant for breach of a commercial lease, and the parties acknowledged the amount due under the lease was \$251,200.13, via stipulation for entry of judgment (Id. at 134-135.) Specifically, the stipulation stated "...In such event, judgment shall be immediately entered in the sum of \$251,200.13 together with reasonable attorneys fees in favor of [respondent] and against [appellant], ... less any sums received by [respondent].'" (Id. at 134.)

Defendant was to pay \$30,000 in 24 monthly installments, and if he defaulted, judgment would be entered in the full amount due under the lease. (Id. at 134.) The defendant defaulted, and judgment was entered against him for \$251,200.13. (Id. at 135.)

The defendant argued the judgment was void because it imposed an unenforceable liquidated damages in an amount that bore no reasonable relationship to the damages the parties could have anticipated would be caused by his failure to pay the settlement amount. (Id. at 135–136.) The appellate court found that the "appellant's admission in the stipulation that he did not dispute the amount of the stipulated judgment and that \$251,200.13 was in fact due and owing on the lease" was critical in determining that "that appellant was not compromising a disputed claim when he signed the stipulation." (Id. at 136-137.) The appellate court noted that "We cannot isolate the relevant breach of contract as only the breach of settlement agreement ... and excluding the underlying contract." (Id. at 136.)

Again, the stipulated admissions by the defendant in Creditors Adjustment Bureau include the fact that \$251,200.13 was "not arbitrarily drawn from thin air. It is the actual and stipulated amount of damages." (Id. at 136.) "Respondent correctly relies upon appellant's admission in the stipulation that he did not dispute the amount of the stipulated judgment and that \$251,200.13 was in fact due and owing on the lease." (Id.)

The court concluded that "Nothing in [Greentree]...compel[s] a contrary conclusion. Why? Those cases involved disputed claims and here, appellant admitted owing the \$251,200.13 as unpaid rent, i.e., damages. Appellant's financial wound was self-inflicted." (Id. at 137.)

As such, the Court finds this matter closer to Creditors Adjustment Bureau and therefore it has a sufficient basis to enter judgment in the principal amount of \$53,908.62 as contemplated by the stipulation.

Interest

The only reference to interest is as follows: "D. If all payments are made as set forth above, then the payments will be interest free."

This, in the Court's view, is insufficient to award prejudgment interest pursuant to Civil Code section 3287(a). Prejudgment interest is an element of damages, and as such, a settlement agreement is presumed to embody the parties' mutual agreement of the amount that adequately compensate a plaintiff in exchange for a release of claims. (BTHHM Berkeley, LLC v. Johnston (2024) 100 Cal.App.5th 1220, 1225-26 ("We disagree that Civil Code section 3287 authorizes an award of prejudgment interest on a judgment entered pursuant to Code of Civil Procedure section 664.6 where, as here, the parties have reached their own agreement about what compensation is owed for damages that would otherwise be addressed by an award of prejudgment interest."))

As such, the Court will not award interest.

Attorneys' Fees

Plaintiff seeks fees pursuant to this Court's default fee schedule found in Appendix 8 of its Local Rules. However, this section states:

"Exclusive of costs, the following counsel fees will be awarded under normal circumstances in a default action on a promissory note or contract providing for the payment of counsel fees:

25% of the first \$5,000 with a minimum fee of \$250

10% of the amount over \$5,000

In any default action when the attorneys' fees requested exceed \$7,500.00, a prove up hearing may be required to establish the reasonableness of the requested fees."

The Court does not consider this a "default action." Rather, Plaintiff seeks entry of judgment pursuant to a settlement agreement. No default has been entered as to Defendant and no default judgment has arisen from this matter.

The Court, therefore, denies the request for attorneys' fees.

Costs

The Court will award the remainder of the costs as requested in the amount of \$580.45.

Summary

Therefore, the Court will enter judgment in the amount of \$49,402.07 which is comprised of the principal settlement amount of \$53,908.62, plus court costs of \$580.45, less payments received from Defendant and Defendant's insurance carrier of \$5,087.00.

If no one requests oral argument, under Code of Civil Procedure section 1019.5(a) and California Rules of Court, rule 3.1312(a), no further written order is necessary. The minute order adopting this tentative ruling will become the order of the court and service by the clerk will constitute notice of the order. Court reporters are usually not available for law and motion matters in the civil division. The parties and counsel must provide their own reporter if they want a transcript of the proceedings.